CONTRACT OF LEASE

This Contract of Lease (the "Contract"), made and entered into this _____ at the City of Makati, Philippines, by and between:

FBC STEPS REALTY, INC., a corporation duly organized and existing under and by virtue of the laws of the Republic of the Philippines, with principal office at 3rd Floor, Makati Stock Exchange Bldg., Ayala Triangle, Ayala Avenue, Makati City, represented herein by its duly authorized Attorneys-in-Fact, Ms. Agnes R. Sayao and Ms. Vanessa M. Besas, by virtue of the powers conferred upon them, (hereinafter referred to as the **"LESSOR")**;

- and -

FAMILY TIMES FOODS, INC., a corporation duly organized and existing under and by virtue of the laws of the Republic of the Philippines with principal office at 2981 Mahogany Street, United II, Parañaque City, represented herein by its HR Manager and Legal Counsel, Mr. Adrian P. Dimacali, by virtue of the powers conferred upon him, (hereinafter referred to as the "**LESSEE**");

WITNESSETH THAT:

For and in consideration of the payment of rents and other sums due hereunder, and the faithful compliance with all the conditions and covenants hereinafter contained, the LESSOR hereby leases, lets, and demises unto the LESSEE, and the latter does hereby accept under lease, a commercial space constituting the Leased Premises, with an aggregate area of 46.55 square meters, with various improvements located at Unit 1-A, 8465 Kalayaan Avenue, Makati City, as shown in the attached sketch plan marked as **Annex A,** which is made an integral part of this Contract.

This lease is granted by the LESSOR and accepted by the LESSEE subject to the following terms, covenants, conditions and restrictions.

ARTICLE 1 - DEFINITIONS AND INTERPRETATION

1.1 **Definitions:** As used herein, the following terms shall have the following respective meanings:

"Building" shall refer to the building located at 8465 Kalayaan Avenue, Makati City, where the Leased Premises is located.

"Building Administration Office" shall refer to the office of the operations manager of the Building.

"Common Areas" shall refer to all areas and facilities located or installed within or affixed to the Building, which are installed and provided by the LESSOR at its own expense and designated by the LESSOR for the general use and convenience of all the lessees in the Building, their respective clients, employees, customers and guests. Without limiting the generality of the foregoing, Common Areas shall include driveways, pedestrian, passageways, sidewalks, corridors and comfort rooms.

"Delivery Date" shall mean June 29, 2025.

"Force Majeure" shall mean an act, event or cause, which is unexpected or unforeseen, or if foreseen, must be impossible to avoid, or which is beyond the control of the LESSOR or the LESSEE. This term includes rebellion, insurrection, labor unrest, lockout, work stoppage, strikes on a citywide or nationwide scale, flood, typhoon, earthquake, robbery, theft, terrorism, or any other crime.

"Leased Premises" shall refer to a commercial space with an aggregate area of 46.55 square meters, with various improvements located at Unit 1-A, 8465 Kalayaan Avenue, Makati City, as shown in **Annex A**.

"Rental Commencement Date" shall mean June 29, 2025.

1.2 **Interpretation:** The following rules shall be observed and applied in this Contract, except when the context clearly indicates otherwise.

a) The masculine gender includes the feminine and neuter, and vice versa.

b) The singular number includes the plural, the plural singular.

1.3 **Headings:** The headings or titles of each Article or sub-article herein are used for convenience only, and do not in any way control, limit or qualify the actual text or meaning of each Article or sub-article.

ARTICLE 2 - LEASE TERM AND DELIVERY OF LEASED PREMISES

2.1 **Term:** The term of this lease shall be three (3) years, commencing on June 29, 2025 and ending on June 28, 2028. Unless otherwise renewed under the conditions established hereunder, this lease shall not be deemed extended beyond the date specified herein for its termination for any reason whatsoever. There shall be no tacit renewal of this Contract, notwithstanding the continuation of the LESSEE in the possession of the Leased Premises for any length of time after expiration of the term of this lease.

This lease may be renewed for another year, upon the written agreement of the LESSOR and the LESSEE and under such terms and conditions as may be acceptable to them; provided that, the LESSEE shall have faithfully complied with all the terms of this Contract, and the LESSEE shall notify the LESSOR in writing of its desire to renew the lease at least ninety (90) days prior to its expiration. In the event that the LESSOR and LESSEE are unable to agree on the terms and conditions under which this lease shall be renewed within the ninety (90)-day period prior to the expiry of this lease, then this lease shall automatically terminate and the LESSOR shall be entitled to the rights granted under this Contract by reason of such termination.

2.2 **Delivery of Leased Premises:** The LESSOR shall deliver to the LESSEE physical possession of the Leased Premises, in "as is, where is" condition, on or before the Delivery Date.

If the LESSOR is unable to transfer physical possession of the Leased Premises to the LESSEE on or before the Delivery Date due to (i) the refusal of a prior lessee to vacate the Leased Premises notwithstanding the termination of the lease term agreed upon between such prior lessee and the LESSOR, or (ii) any other reason beyond the control of the LESSOR, the LESSOR shall not be subject to any liability for the failure to deliver the Leased Premises to the LESSEE on the Delivery Date. Neither shall such failure affect the validity of this lease or the obligations of the LESSEE hereunder; provided that, the Rental Commencement Date and the Delivery Date shall be deferred to a date to be determined by the LESSOR.

ARTICLE 3 - EXTENT AND USE OF THE LEASED PREMISES

3.1 **Use:** The Leased Premises shall be used by the LESSEE only as an outlet for "**Café Mary Grace.**" The LESSEE shall not divert the Leased Premises to other uses, without the prior written consent of the LESSOR, it being expressly agreed that if, at any time during the term of this lease and without the previous written consent of the LESSOR, the Leased Premises are used for purposes other than what has been agreed upon, the LESSOR shall have the option to (a) cancel this Contract in accordance with **Article 10** hereof and the LESSOR shall and thereupon become entitled to exercise all the rights provided hereunder; (b) increase the rent; or (c) compel the LESSEE to stop the unauthorized activities.

3.2 **Conduct of Business:** The LESSEE shall, at all times during the term of this lease, conduct its business in a reputable manner in accordance with the urban design quality of the Building and the business and operating standards of a reputable commercial area. All the government permits, taxes, licenses and fees which are necessary or appropriate for the conduct of business by the LESSEE in the Leased Premises shall be obtained and paid for by the LESSEE and shall be maintained by the LESSEE for the duration of the lease term or renewal thereof, and all costs and expenses to be incurred in connection with these permits, taxes, licenses and fees shall be for the account of the LESSEE.

3.3 **Common Use:** The lease of the Leased Premises from the LESSOR shall include the use in common by the LESSEE and other lessees of the Common Areas and their respective guests, as far as the same are necessary for the use or enjoyment of the Leased Premises and subject to the right of the LESSOR to restrict such use in any way.

3.4 **Exclusive Rights of LESSOR:** The grant of this lease shall not prejudice or adversely affect the following exclusive and absolute rights of the LESSOR to the extent specified below:

(a) to provide for the free and uninterrupted passage and running of water, drainage, electricity, telecommunications or other public utilities or services through the installation of conduits, pipes, wires, cables or ducts as are now or may be hereafter be installed in, on or under the Leased Premises, serving or capable of serving the Building or any adjoining property, and to enter the Leased Premises to inspect, repair or maintain such conduits, pipes, wires, cables or ducts;

(b) to erect, alter or consent to the erection or alteration of any building located or to be located on any adjoining or neighboring property, notwithstanding that such erection or alteration

may diminish the access of light, view or air enjoyed by the Leased Premises, or to deal with such neighboring or adjoining property as the LESSOR shall see fit;

(c) to enjoy subjacent and lateral support from the Leased Premises for the remainder of the Building;

(d) to make, impose, adopt, supplement, abolish or amend such regulations as it may consider necessary for the management, operation or maintenance of the Building, or the operation and use of the Common Areas, private roads, sidewalks, malls, driveways, entrances or exits in the Building.

(e) to appoint, ratify or confirm any person or firm to manage and administer the Building and to delegate to such person or firm the power to adopt rules and regulations as it shall deem necessary for the management, maintenance or operation of the Building, and to implement rules and regulations adopted by the LESSOR pursuant to **Article 3.4 (d)**, and for this purpose, any notice, act, decision, forbearance or consent required to be given or done hereunder shall be fully and effectively done or given if expressed to by or on behalf of such person or firm; and

(f) to undertake the improvement of the Building or any development work in an adjoining lot, within the vicinity of the Building in such a manner as to cause the least inconvenience to the LESSEE, its employees, guests, customers and clients, and, for this purpose, the LESSEE shall not hold the LESSOR liable for any resulting disturbance or discomfort arising out of such development work or improvement.

3.5 **Extent of Leased Premises:** This lease does not extend to the outside portions of the Building corresponding to or opposite the Leased Premises. The Common Areas within the Building are likewise not part of the Leased Premises, and no merchandise or other property of the LESSEE shall be placed therein or thereon. The LESSOR shall have the right to cause the removal of the merchandise or other property belonging to the LESSEE found or within the corridors, hallways or other Common Areas of the Building and charge the cost of removal, handling and storage (if necessary) to the LESSEE.

3.6 **No Goodwill:** The grant to the LESSEE of the physical possession, use and enjoyment of the Leased Premises confers no goodwill or patronage rights over the Leased Premises to the LESSEE, it being recognized that such rights exclusively belong to the LESSOR as owner of the Leased Premises. Neither shall the LESSEE have any right to sell or dispose of said goodwill or patronage rights to any person.

ARTICLE 4 - RENT AND OTHER PAYMENTS

4.1 **Rent:** The monthly rental shall be **Php1,013.50** per square meter of leasable space exclusive of VAT or **PESOS: FORTY-SEVEN THOUSAND ONE HUNDRED SEVENTY-EIGHT & 43/100 ONLY (Php47,178.43),** which shall be payable in advance at the Building Administration Office or at such other place or manner as the LESSOR may by notice in writing to the LESSEE from time to time direct, without the necessity of any notice/billing statement or demand from the LESSOR or the performance by a collector of collection services, within the first five (5) days of each month. Payment of rentals shall be made either in cash or in check made payable in the name of the LESSOR or via transfer or deposit to the LESSOR's bank account. The receipt of a check in payment of the rentals due hereunder shall not produce the effect of payment until the amount thereof is actually received. Failure to pay within the first five (5) days of each month as stated in this article is subject to interests and penalties specified in **Article 4.8** of this contract. The monthly rental shall be subject to an escalation of five percent (5%) on the third year covering the period of June 29, 2027 to June 28, 2028. Accordingly, the monthly rentals, exclusive of value-added tax ("VAT") for the term of the lease shall be as follows:

June 29, 2025 to June 28, 2027	Php47,178.43
June 29, 2027 to June 28, 2028	Php49,537.58

Payment of rentals shall be made net of the required withholding tax on rentals. The LESSEE shall remit the taxes withheld directly to the Bureau of Internal Revenue and shall indicate in the creditable withholding tax return to be filed with the latter that the taxes being withheld are to be credited to the LESSOR. The LESSEE shall furnish the LESSOR with three (3) copies of the Certificate of Income Tax Withheld at Source within three (3) business days from such remittance. Failure to submit this Certificate would constrain the LESSOR to charge back to the LESSEE the corresponding amount pertaining to the unsubmitted certificates, subject to interest and penalty, if it remains unsettled on or before the due date specified in the applicable statement of account. It shall be understood, however, that the LESSOR shall have the right at any time during the lease term or renewal thereof to designate a different manner of payment of the rentals due hereunder, including designating another party to whom the payment of such withholding taxes shall be credited.

4.2 **Taxes:** In the event that at any time during the term or renewal of this lease, the real property tax on the Building or the land on which it stands shall be increased or there shall be levied any new or additional assessment or charge on the Building or the land on which it stands, then the rental in force on the date the real property tax, assessment or charge is increased or imposed, shall likewise be increased in direct proportion to the increase in or additional real property taxes, assessment or charge.

Other than the LESSOR's income taxes or taxes required to be withheld from the rentals due to the LESSOR which shall be credited against the LESSOR's income taxes, all taxes due by reason of the receipt of rentals by the LESSOR and all other amounts which the LESSEE is required to pay the LESSOR as provided hereunder, as well as the documentary stamp taxes or other taxes accruing by reason of the execution of this Contract, shall be for the account of the LESSEE.

4.3 **Construction Bond:** Prior to any construction or renovation within the LEASED PREMISES, the LESSEE shall deposit a cash construction bond in the amount of **PESOS: FORTY-ONE THOUSAND FIVE HUNDRED EIGHTY-SEVEN & 77/100 ONLY (Php47,178.43),** or the equivalent of one (1) month's rent, as security for the repair or reconstruction of any damage caused to the property of the LESSOR or of any tenant or occupant in the Building arising out of or in connection with the fault or negligence of the contractors, suppliers or workers undertaking such construction or renovation or the failure of the LESSEE to comply with the requirements prescribed by the LESSOR for the performance of such construction or renovation work. This construction bond shall be returned to the LESSEE without interest after the completion of construction or renovation work, less any construction-related charges due to the LESSOR, subject to the LESSEE's compliance with the requirements prescribed by the LESSOR for the performance of such construction or renovation work.

4.4 **Security Deposit:** Upon the execution of this Contract, the LESSEE shall provide the LESSOR with a security deposit in cash in an amount equal to three (3) months' rent or the amount of **PESOS: ONE HUNDRED FORTY-ONE THOUSAND FIVE HUNDRED TWENTY-SIX & 29/100 ONLY (Php141,526.29)**, to answer and stand as security for the proper and due performance of all the LESSEE's obligations under this Contract. The existence of such security, however, does not and should not excuse the LESSEE's non-payment of rent on a regular monthly basis, or of any other sum required to be paid within the period specified in **Article 4.1**. The LESSEE shall be required to maintain the security deposit in the amount equivalent to three (3) months' rent, and such security deposit shall be increased correspondingly by the LESSEE as and when the rent increases. Such increase shall be payable on the due date specified in the applicable statement of account.

This security deposit shall be forfeited in favor of the LESSOR upon the occurrence of any of the following events: (i) the LESSEE fails to occupy the Leased Premises for the full term of the lease or any extension or renewal thereof, or (ii) this Contract is terminated by the LESSEE for whatever reason prior to expiry date of its term. Upon the occurrence of any of these events, the security deposit (or the balance thereof which should otherwise have been returned to the LESSEE had such termination not have occurred) shall be forfeited in favor of the LESSOR, in addition to whatever damages which may be due to the LESSOR arising from the failure of the LESSEE to occupy the Leased Premises or due to the termination of this Contract. In the event, however, that this lease is terminated at the instance of the LESSOR without any fault or negligence of the LESSEE but with its conformity, this security deposit shall be returned to the LESSEE, net of the amounts which may be deducted therefrom under this Article.

This security deposit shall be returned to the LESSEE, without interest, only after the expiration of the term of this lease and after the LESSEE shall have completely and satisfactorily vacated and delivered the Leased Premises to the LESSOR, less whatever amounts the LESSEE may owe the LESSOR or which the LESSOR may apply against the security as provided hereunder. It shall be understood, however, that the application of the security against any unpaid obligation of the LESSEE shall be effected only at the termination of the lease. The LESSOR shall, notwithstanding the delivery of the Leased Premises to the LESSOR by the LESSEE, have the right to withhold any portion of the security deposit until the LESSOR shall have received statements of account from utility companies supplying telephone, water, electric power or public utility services to the Leased Premises, covering the period ending on the date the LESSEE shall have completely vacated and delivered the Leased Premises to the LESSOR. The amount withheld shall answer for the payment of such statements of account and the balance thereof remaining with the LESSOR after such payment shall be returned to the LESSEE without interest. Likewise, should the LESSEE have any other obligation which remains due and unpaid under any other contract with the LESSOR, the LESSOR shall have the right to apply the amount of these unpaid obligations against the security in settlement thereto upon the termination of the lease.

4.5 **Common Area Dues:** In addition to the payment of rental and other amounts due hereunder, the LESSEE shall pay for its monthly share in the common area dues in the amount of **PESOS: THREE HUNDRED TWENTY-FIVE & 79/100 ONLY (Php325.79)** per square meter of leasable space, exclusive of VAT or a total of **PESOS: FIFTEEN THOUSAND ONE HUNDRED SIXTY-FIVE &**

52/100 ONLY (Php15,165.52), which shall also be payable in advance without the necessity of any notice/billing statement or demand from the LESSOR, within the first five (5) days of each month. Payment of common area dues shall also be made at the Building Administration Office. The monthly common area dues shall be subject to an escalation of five percent (5%) every January 1 of each year of the lease term. The LESSOR may, from time to time, issue reasonable regulations and charges. The common area dues shall include expenses attributed to the Common Areas as follows:

(a) pest control;
(b) janitorial services and basic maintenance;
(c) security services; and
(d) gardening works.

4.6 **Utilities:** The LESSEE shall pay for its actual consumption of utilities. All charges and fees for the consumption of utility services and all repairs and new installation in connection with such services shall be for the account of and shall be promptly paid by the LESSEE.

4.7 **Optional Parking Space Rental:** In case the LESSEE wishes to rent from the LESSOR a parking space, the LESSEE will be provided with one (1) parking slot by the LESSOR, subject to a parking rental rate of **PESOS: FIVE THOUSAND & 00/100 ONLY (Php5,000.00)** per month (VAT-exclusive). This shall be subject to a five percent (5%) increase every January 1 of each year of the lease term. The parking space rental is optional and is subject to the rules and regulations which the LESSOR may cause to be promulgated or imposed from time to time.

4.8 **Interest and Penalty:** Without prejudice to the exercise by the LESSOR of its rights under the penal provisions herein, the LESSEE shall pay to the LESSOR interest of two percent (2%) and penalty of three percent (3%) per month on any amount herein provided to be paid by the LESSEE that is not paid or tendered on time, to be computed from the date of delinquency until paid in full.

The preceding interest and penalty charges shall be computed daily and compounded monthly and shall apply to any and all arrearages in the amounts herein provided to be paid by the LESSEE including, but not limited to, rents, share in common area charges and deposits.

In case of cancellation or termination of the Contract due to default or breach of its terms, the LESSEE shall pay the LESSOR all unpaid rents, fees, assessments and reimbursements to which the LESSOR may be entitled.

4.9 **Lien:** Unpaid rents and charges payable by the LESSEE to the LESSOR for one (1) year under this Contract shall constitute a preferred lien on all personal properties of the LESSEE found or located in the Leased Premises in accordance with Articles 2241 and 2243 of the Civil Code. For this purpose, the LESSOR is hereby authorized to prevent the removal of the aforesaid properties from the Leased Premises or demand their return from any possessor thereof.

4.10 **Application of Payments:** The following rules shall govern the application of payments made by the LESSEE: (a) any payment received by the LESSOR shall be applied against and for the payment of the amounts payable and accruing under the statement of account or billing with the earliest date, irrespective of any instruction of the LESSEE to cause the application of such payment for a specified statement of account, purpose, nature, item or amount; and (b) in the event that the amounts due and payable representing rent, interest, penalty or other charges are covered by one statement of account or billing, then the payment received by the LESSOR which is to be applied to such statement of account or billing shall be applied in the payment of obligations stated therein in the following order of priority: (i) any deficiency in the security deposit, (ii) construction bond, (iii) common area dues, (iv) rent, and finally (v) interest and penalty. Should the payment received by the LESSOR be insufficient to completely settle any outstanding obligation, whether covered in one statement of account or billing, or otherwise, then subsequent payment(s) to be received from the LESSEE shall be applied first in the payment of any amount remaining unpaid under the statement of account or billing with the earlier date.

ARTICLE 5 – ADDITIONAL INSTALLATIONS

The LESSEE may, if it so desires, request from the LESSOR for the installation at the LESSEE's expense of public utility fixtures or facilities, including without limitation, electric, water, telephone fixtures or facilities. The LESSOR may choose to deny or approve such request at its discretion or subject its approval of the same to such conditions as the LESSOR may impose. All permits which may be required for the installation and operation of such additional fixtures and facilities when so approved by the LESSOR, shall be obtained and maintained by the LESSEE at its expense. The LESSEE shall, at all times, keep in good order, condition and repair the electrical and other mechanical equipment within or serving the Leased Premises and to pay for their maintenance and electric consumption. The LESSEE shall also be responsible for the payment of all charges, costs, expenses, dues, assessments, levies or taxes which may be imposed

or collected in connection with the installation, operation, repair or maintenance of such additional fixtures and facilities. The LESSEE shall comply with all the rules, regulations and requirements imposed by the appropriate government agencies or public utility companies in connection therewith.

For the purpose of obtaining the prior approval of the LESSOR for the installation of additional public utility or public service facilities in the Leased Premises, the LESSEE shall submit to the LESSOR the necessary plans and specifications for the installation of the said facilities or fixtures. Such installation should be made by a licensed electrician or technician approved or employed by the LESSOR, in such a way as to cause no injury to the Leased Premises or the Building. The LESSOR reserves the right to require the LESSEE to use the LESSOR's building contractor for any renovation of the Leased Premises when in the LESSOR's best judgment, the proposed renovation may adversely affect any of warranties or guarantees given by any of the contractors of the Building. Any resulting additional electrical or structural load must be within the maximum electrical or structural capacity of the Leased Premises.

The LESSOR and any duly authorized public utility or service entity shall be allowed free access to and entry into the Leased Premises for the purpose of installing, inspecting or repairing generators, electrical apparatus, communication facilities, electric poles, metal alley and all accessories and appurtenances connected therewith, or performing all other acts necessary to ensure public safety and the preservation of the utility lines and facilities.

ARTICLE 6 - LESSEE'S ADDITIONAL COVENANTS

The LESSEE agrees that in addition to its other undertakings under this Contract, and unless it has obtained the prior written consent of the LESSOR for the performance of an act or deed which is otherwise prohibited under this Contract:

6.1 **Assignment or Transfer:** The LESSEE shall not assign or transfer its rights under this Contract, nor sub-lease all or any part of the Leased Premises or enter into any arrangement whereby the use or possession of any part of the Leased Premises is transferred to any person, irrespective of whether rental or other consideration is given therefor. No right, title or interest to, in and under this Contract or the Leased Premises shall be deemed conferred or vested in any person other than the LESSEE, to the extent specified herein, without the LESSOR's prior written consent.

6.2 **Mortgage:** The LESSEE shall not mortgage, encumber or create any security interest in and to the leasehold rights granted hereunder to the LESSEE. The LESSEE shall also undertake to notify the LESSOR in writing prior to effecting any mortgage, pledge, assignment or transfer of the equipment, furniture and other items which are used for its business and retail operation.

6.3 **Notices and Signs:** The LESSEE shall not affix, inscribe or paint or cause the affixing, inscribing or painting of, any notice, sign, or other advertising media on any part of the Leased Premises or Building, including any sign or media which, in the opinion of the LESSOR, is of a lewd, obscene or otherwise offensive nature. If so allowed by the LESSOR, the sign or media shall be of such size and style as the LESSOR may determine. Neither shall the LESSEE permit or give consent to any person or entity to affix, inscribe or paint any notice, sign or other advertising media on the Leased Premises or on any part of the Building, as if said person or entity uses, holds office or is otherwise established at the Leased Premises or any part thereof. The LESSOR shall have the right to require the LESSEE to remove any sign which the LESSOR may consider inappropriate. Upon failure of the LESSEE to do so, the LESSOR shall have the authority, without incurring any liability, to enter the Leased Premises, remove any sign/s it may consider inappropriate, and charge the costs thereof to the LESSEE.

6.4 **Name of the Building:** The LESSEE agrees that the LESSOR's name or the name of the Building shall not be used in any confusing, detrimental, or misleading manner in connection with the LESSEE's own business or trade name, and upon termination of this lease, the LESSEE shall cease to use the name of the Building, or any part thereof in any manner, whether in connection with the LESSEE's own business or trade name or otherwise.

6.5 **Alterations, Additions or Improvements:** The LESSEE shall not make any alteration, addition, or improvement within the Leased Premises or in any of the Common Areas or effect the installation of any fixtures required by the conduct of its business, without the prior written consent of the LESSOR and then subject to such terms and conditions as may be imposed by the LESSOR. All authorized alterations, additions or improvements made by the LESSEE as well as any alteration, improvement, addition or installation of or to the Leased Premises shall be done in good workmanlike fashion and at the LESSEE's cost. All building, architectural, engineering and conceptual plans and specifications for any alteration, addition or improvement shall be submitted to the LESSOR for its approval at least thirty (30) days prior to the commencement of work on any such alteration, addition or improvement. The LESSOR reserves the right to require the LESSEE to use the LESSOR's building contractor for any renovation of the Leased Premises when in the LESSOR's opinion, the proposed renovation may adversely affect any of the

warranties or guarantees given by any of the contractors of the Building. The approval by the LESSOR of such alterations, additions or improvements shall in no event relieve the LESSEE from the responsibility of obtaining all the necessary permits and licenses pertaining to such alterations, additions, improvements or installations or from paying the necessary taxes, insurance premium or fees as shall be necessary or appropriate in connection therewith. The LESSEE shall give all the notices required and shall comply with all ordinances, rules and regulations issued by governmental agencies and public utility companies having jurisdiction over the same. For purposes hereof, the LESSEE shall submit to the LESSOR the cash bond as required by **Article 4.3** prior to the start of any construction or renovation of the Leased Premises.

Upon termination of this Contract, all such alterations, additions or improvements made by the LESSEE on the Leased Premises must be removed by the LESSEE. The LESSEE must restore the Leased Premises to the condition it was found at the commencement of this lease. All expenses incurred for the removal of such alterations, additions or improvements will be shouldered by the LESSEE.

6.6 **Drilling or Defacing:** The LESSEE shall not make, permit or suffer any act, installation, alteration or addition to be made or done in or to the Common Areas, the Leased Premises or any part of the Building which may cause damage thereof, including without limitation, any cutting, maiming, marking, defacing or drilling into or of any part of the Building, Leased Premises or Common Areas.

6.7 **Load Limitations:** The LESSEE shall not install, place or suspend any load, apparatus, equipment, article or thing in any part of the Leased Premises, the weight or location of which in the Leased Premises will violate the maximum load limitations for the Leased Premises as determined by the LESSOR for the floor of the Building where the Leased Premises is located. For this purpose, the LESSEE shall obtain the prior written approval of the LESSOR for the entry and/or removal of any load or apparatus, equipment, article or thing, into and from the Leased Premises. The LESSEE shall also comply with the requirements imposed by the LESSOR for keeping such equipment, load or apparatus within the Leased Premises, including the use of supports of such dimension and material to distribute the weight of such equipment, load or apparatus as the LESSOR may deem necessary. The LESSEE shall not permit, suffer or cause any act to be done whereby the maximum allowable voltage capacity of the Leased Premises shall be exceeded.

6.8 **Shades, Awnings, Blinds:** The LESSEE shall not hang, fix or erect any shades, awnings, blinds or window guards of any description, shelters or coverings, wire or aerial wiring, supports, iron brackets or any other thing on any part of the Building, including the roof or exterior wall of the Leased Premises, without the prior written consent of the LESSOR.

6.9 **Use of Leased Premises or Common Areas:** The LESSEE shall not use, cause or permit the use of the Leased Premises or Common Areas in any improper manner for any purpose other than that for which they are respectively intended. Without limiting the generality of the foregoing, the LESSEE shall not use or permit the Leased Premises or Common Areas to be used as sleeping quarters or domestic premises or allow any person to remain in the Leased Premises overnight nor allow the Leased Premises or the Common Areas to be used for drying laundry, hanging, placing or storing any article or thing thereon. The LESSEE shall not allow the Leased Premises or Common Areas to be used by any person for canvassing, peddling, touting or soliciting for business or distributing any booklet, pamphlet and advertising material or for any illegal or immoral purpose, or any manner which may provide basis for the imposition of a fine, forfeiture or penalty against the LESSOR under the applicable law. Neither shall the Leased Premises be used for the manufacture or storage of goods, articles or things, other than storage of goods for the purpose of and in quantities consistent with the LESSEE's business as carried on at the Leased Premises, or keep, store or permit or suffer to be kept and stored any dangerous goods or other explosive or hazardous substance. No auction, fire, bankruptcy, close-down or similar sales of neither a retail business nor any other unethical type of business operation shall be conducted in the Leased Premises.

6.10 **No Obstruction of Common Areas:** The sidewalks, entries, passages and corridors of the Building shall not be obstructed or used by the LESSEE for any purpose other than for ingress to or egress from the Building. No disturbing, noisy or improper activities shall be allowed to be carried therein or thereon, using loudspeakers, television, phonographs, radios, or other devices which will be in any manner audible or visible outside the Leased Premises without the prior written consent of the LESSOR. In no instance shall the LESSEE place boxes, cartons, packages, refuse, dust bins, garbage cans, furniture or chattels in the Common Areas, which should be kept free and clear of all obstructions at all times. For purposes hereof, the LESSOR shall in addition to its other remedies as provided hereunder or in law, be entitled without notice and at the LESSEE's expense, to remove, store or dispose of any such obstruction as the LESSOR shall see fit, without incurring any liability to the LESSEE. The LESSEE shall, on demand, pay or reimburse the LESSOR for all the expenses incurred in such removal or storage.

6.11 **Loading and Unloading of Goods:** The LESSEE shall load and unload cargoes, goods, articles or things only during such hours and through such entrances and routes as shall be determined by the LESSOR from time to time.

6.12 **Maintenance of Leased Premises:** The LESSEE shall well and sufficiently preserve, repair and maintain in good, clean, tenantable condition (reasonable wear and tear excepted), at its own cost, the interiors of the Leased Premises, including the flooring, interior plaster or other finishes, doors, windows, cables, conduits, wirings, sockets, electrical installations and plumbing fixtures found in or about the Leased Premises. All windows, glass or plate glass of or in the Leased Premises broken or damaged by the LESSEE due to the fault or negligence of the LESSEE, its guests, employees or agents shall be replaced at the cost of the LESSEE. The Leased Premises and all additions and installations supplied by the LESSOR shall be kept in good clean working condition and repair (reasonable wear and tear excepted). The LESSEE shall provide itself at its cost and expense, with receptacles to hold and contain waste matter, garbage and refuse; shall keep the same in securely sealed containers and shall dispose of such garbage on a daily basis in the manner prescribed by the LESSOR. It shall keep drains, pipes, sanitary or plumbing apparatus, used exclusively by the LESSEE, its employees, guests, clients or customers in good clean and tenantable condition (reasonable wear and tear excepted) and in accordance with the requirements imposed by regulations of governmental authorities and the LESSOR. The LESSEE shall pay the LESSOR for all costs in cleaning, repairing or replacing any of the same when found to be blocked or stopped owing to the careless and improper use or neglect thereof by the LESSEE, its employees, clients, customers or guests.

6.13 **Increase in Insurable Risk:** The LESSEE shall not use the Leased Premises, the Building or any part thereof in any manner which will cause insurance policies of the Leased Premises or the Building against loss or damage caused by fire, storm, typhoon or other insurable perils and/or claims by third parties to be rendered void and voidable, or whereby the premium due thereon may be increased; provided that, if as a result of any act, deed, matter or thing done or permitted by the LESSEE, the premium on any such insurance policy is increased, the LESSOR shall be entitled, without prejudice to any other remedy hereunder, to recover from the LESSEE the amount of such increase and shall be indemnified by the LESSEE against all claims, losses, damages or claims sustained or made against the LESSOR by any person as a result of a breach of this Article.

6.14 **Insurance:** Prior to the start of operations, the LESSEE shall procure comprehensive general liability insurance (with "broad water damage" coverage) in the amount of **PESOS: ONE MILLION and 00/100 ONLY (P1,000,000.00)** to be renewed yearly for the entire term of the lease. The LESSEE shall furnish the LESSOR with copies thereof as well as its subsequent renewals. Further, the LESSEE undertakes to make all records pertaining to such insurance (including proof of payment) available to the authorized agents of the LESSOR at the Leased Premises for review during office hours on the date scheduled by the LESSOR, or any postponement or resetting thereof.

6.15 **Nuisances:** The LESSEE shall not permit or suffer to be permitted any music or noise to emanate from the Leased Premises which in the reasonable opinion of the LESSOR may constitute a nuisance or annoyance or give cause for reasonable complaint from the LESSOR or other lessees. Neither shall it permit any odor or noxious smell which is in the sole opinion of the LESSOR offensive or unusual, to emanate from the Leased Premises, nor keep or suffer to be kept any animals or pets inside the Leased Premises.

6.16 **Protection Against Pests:** The LESSEE shall take such steps and precautions at its own cost to prevent the Leased Premises from becoming infested with termites, rats, mice, cockroaches or other pests or vermin. For this purpose, it agrees to utilize the services of the pest control agency recommended by the LESSOR to provide pest control services for the Leased Premises.

6.17 **Compliance with Rules:** The LESSEE shall obey and comply with the construction guidelines and house rules, and with such rules and regulations as may from time to time be imposed, adopted, introduced or amended by the LESSOR, the person or firm appointed by the LESSOR to manage and operate the Building or the appropriate government agency.

6.18 **Permit to Enter:** The LESSEE shall permit the LESSOR, public utility companies and their authorized representatives, at reasonable times, to enter the Leased Premises for the purpose of undertaking the repair and maintenance of utilities, facilities and other structural elements used or shared in common by the LESSEE with the other lessees of the Building, inspecting the condition of the Leased Premises or for determining the LESSEE's compliance with this Contract. The LESSOR shall be entitled without incurring any liability whatsoever, in the event of an emergency to enter the Leased Premises as the LESSEE's attorney-in-fact, to undertake the necessary repairs or conduct the inspection thereof for the protection of the Leased Premises and the Building.

6.19 **Inspection Prior to Expiry of Lease:** During the last three (3) calendar months immediately preceding the expiration of the term of this lease, the LESSEE shall allow, during business hours and upon prior written notice, the LESSOR's authorized representatives and prospective tenants to inspect the Leased Premises. During such period, the LESSOR may exhibit, where it shall think fit, a notice offering the Leased Premises for lease, which the LESSEE shall not conceal in any way.

6.20 **Condition of Leased Premises:** The LESSEE agrees to return and surrender the Leased Premises at the expiration of the term of this lease in the same condition as it was found at the commencement of this lease (reasonable wear and tear excepted), without any delay whatsoever, devoid of all occupants, furniture, articles and effects of any kind. The LESSEE shall repair any damage caused to the Leased Premises which cannot be accounted for by reasonable wear and tear and restore the Leased Premises to the condition it was found at the commencement of this lease to the satisfaction of the LESSOR. All keys giving access to all parts of the Leased Premises and/or the Common Areas (as applicable) shall be returned to the LESSOR, and all expenses incurred in removing from the Leased Premises or Building, the names, posters, signboards, decoration, or advertising matters relating to the LESSEE, including any damage caused by such removal, shall be for the account of the LESSEE.

6.21 **Hold-Over:** If the LESSEE fails to return the Leased Premises to the LESSOR at the end of the term of this lease, or upon the termination of this Contract for whatever reason prior to the expiration of the term of this lease, the LESSEE shall pay the LESSOR, as damages, a sum equal to twice the rental to be paid by the LESSEE to the LESSOR for the period during which the LESSEE retains possession of the Leased Premises. The exercise by the LESSOR of its rights under this Article shall not be interpreted as a grant of permission to the LESSEE to continue in possession of the Leased Premises beyond the term of this lease, and the damages due to the LESSOR hereunder shall be in addition to the damages which may become due to the LESSOR under **Article 10.2**.

If the Leased Premises are not surrendered at the expiration of the term of this lease, the LESSEE shall be responsible to the LESSOR for all damages which the latter may suffer by reason thereof and will indemnify the LESSOR against any and all claims made by any succeeding lessee, resulting from the delay in delivering possession of the Leased Premises to such succeeding lessee, to the extent that such delay is occasioned by the failure of the LESSEE to surrender the Leased Premises on time. The LESSOR shall also be entitled to exercise the remedies in **Article 10.2** hereof.

6.22 **Others:** Blowers shall be supplied by the LESSEE and shall be directed to an area that does not affect the premises.

ARTICLE 7 - REPRESENTATIONS AND WARRANTIES

7.1 **LESSOR's Warranties:** The LESSOR represents, warrants and covenants in favor of the LESSEE that:

(a) it is the absolute and legal owner of the Building and the Leased Premises, and has full right, title and interest to grant the lease of the Leased Premises to the LESSEE;

(b) the land on which the Building stands has been zoned for commercial use and the use of the land and the Building for commercial purposes is expressly allowed under the applicable zoning regulations;

(c) all real property taxes, assessments or levies due or accruing in connection with the Building and the land upon which it stands shall be paid for by the LESSOR as and when the same shall fall due; and

(d) unless otherwise prevented by Force Majeure, it shall maintain the LESSEE in peaceful possession of the Leased Premises for the entire term of this Contract.

7.2 **Mutual Warranties:** The LESSOR and the LESSEE represent and warrant in favor of each other that:

(a) each has full power, authority and legal right to execute, deliver and perform this Contract and has taken all the necessary corporate action to authorize the foregoing;

(b) this Contract constitutes the legal, valid and binding obligation of the LESSOR and the LESSEE, enforceable in accordance with its terms; and

(c) the execution, delivery and performance of this Contract do not and will not violate any provision of or result in a breach of or constitute a default under any law, regulation or judgment, or violate any agreement binding upon either of them or any of their property.

ARTICLE 8 - INDEMNITIES

8.1 **Limitations on Liability of LESSOR:** Save by its gross negligence or willful misconduct, the LESSOR shall not be liable or responsible in any circumstance, whether tortious or otherwise, for any damage or disturbance suffered (whether directly or indirectly) by the LESSEE (whether personally or in

respect of the Leased Premises or any contents therein) or by any of its employees, clients, customers or any other persons whomsoever. Without limiting the generality of the foregoing, the LESSOR shall not be liable:

(a) in respect of any loss, damage or injury sustained by the LESSEE or any such other person or any of their properties, caused by or through any accident, event or in any way owing to: (i) the failure, quality, inadequacy, fluctuation, interruption, malfunction, explosion or suspension of the electricity, water, telephone, telex, facsimile, emergency power or other public utility services supplied to or intended for the Leased Premises or the Building; (ii) any seepage, overflow or leakage of water from any pipe, drain or automatic sprinkler system or any part within the Building or the influx of rain water into the Leased Premises or the Building; (iii) any activity of rats, pests or vermin in the Building; (iv) any failure or breakage of glass of or in the Leased Premises or the Building; (v) any defect, mechanical breakdown, failure or need for repair, overhaul or any negligent or improper working or operation by any person whomsoever, of the facilities provided for the common use of the lessees of the Building or for the LESSEE in respect of the Leased Premises; (vi) Force Majeure; (vii) any escape of fumes, smoke, fire or other substances from anywhere within the Building; (viii) any escape of electric current from electric wiring or cable situated upon or in any way connected with the Building or any part thereof, or any vibration from or of any part of the Building or adjoining or neighboring premises; (ix) any act, neglect or default of the LESSEE or other lessees of the Building or of adjoining neighboring premises, or any of their respective employees, clients, guests or customers; (x) any defective or damaged condition of the Leased Premises or Building; or (xi) any violation of the provisions hereof or the rules and regulations adopted by the LESSOR, person or firm appointed by the LESSOR to manage or operate the Building, or by any appropriate government agency in connection with the possession and maintenance of the Leased Premises by the LESSEE and the conduct of business operations therein; and

(b) for the security or safekeeping of the Leased Premises or any person or property found therein, including without limitation all furniture, fixtures, fittings, goods, chattels, samples, personal effects, contents or articles delivered to or left in the Leased Premises.

8.2 **Indemnification:** The LESSEE shall indemnify and keep the LESSOR fully indemnified against all claims, actions, demands, actions and proceedings whatsoever made against the LESSOR by any person whomsoever arising as a result of or in connection with any loss, damage or injury which the LESSOR shall not be responsible for under **Article 8.1** and against all costs and expenses incurred by the LESSOR in respect of such claims, actions or demands. The LESSEE shall also be responsible for any loss or damage which may be done to the Leased Premises or any part thereof or to Common Areas or to any part of the Building, due to the fault or negligence of the LESSEE, its employees, agents, customers, clients or guests.

8.3 **Non-Abatement of Obligations:** In no event shall the payment of any amount due hereunder whether as rent, Common Area dues or security deposit abate or cease to be payable on account of the occurrence of any of the causes specified above, except to the extent permitted by **Article 9**.

ARTICLE 9 - FORCE MAJEURE

9.1 **Occurrence of Force Majeure:** The LESSEE shall give the LESSOR written notice of any damage caused to the Leased Premises by reason of Force Majeure. If the Leased Premises are rendered inaccessible or destroyed or substantially damaged by Force Majeure, without any fault or omission of the LESSEE, its employees, guests, customers or clients, the damage shall be repaired at the expense of the LESSOR, and the disturbance or discontinuance in the possession of the Leased Premises by reason of or occasioned during such repair shall confer no right of any kind to the LESSEE against the LESSOR, except to the extent recognized under **Article 9.2**.

9.2 **Option to Rescind:** In the event that (i) the damage resulting from the Force Majeure renders the Leased Premises totally unfit for use or occupation for more than sixty (60) days, or (ii) the repairs required to render the Leased Premises fit for use and occupation are expected to last for more than ninety (90) days, or (iii) Force Majeure prevents any party from conducting its business or interferes with the operations of the Building for a period of more than sixty (60) days, then either party shall have the right to rescind this Contract by written notice sent to the other party without need of any judicial action within five (5) business days after the lapse of the applicable period. The rescission of this Contract shall be without prejudice to the rights and remedies of either party against the other in respect of any claim or liability antecedent to such rescission. The obligation to pay rent and other charges or amounts due hereunder shall continue to be in full force until the date such rescission is effected.

In the event, however, that (i) the damage resulting from the Force Majeure renders the Leased Premises unfit for use or occupation for sixty (60) days or less, or (ii) the repairs required to render the Leased Premises fit for use or occupation are expected to last for ninety (90) days or less, or (iii) either party fails to exercise the option to rescind this Contract within the 5-day period specified therefor, or (iv) Force Majeure prevents any party from conducting its business or interferes with the operations of the Building for a period of sixty (60) days or less, then the rent due to the LESSOR (which shall be computed in accordance with **Article 4**) shall be reduced in proportion to the period the LESSEE has not been able to use the Leased Premises. Notwithstanding such proportionate reduction, all other obligations of the LESSEE as provided hereunder shall remain in full force and effect. In no case shall any compensation or claim be allowed against the LESSOR by reason of the interruption, annoyance or injury caused to the LESSEE or its property arising from the rescission of this Contract or any interruption in the use or possession of the Leased Premises or the repair of any portion of the Building or the Leased Premises.

9.3 **Strikes and Lockouts:** In the event that a picket line is established in the Leased Premises or in the vicinity thereof due to a labor dispute involving the LESSEE or arising in any way from the conduct of the LESSEE's business, the LESSOR, in its sole discretion and by written notice, may require the LESSEE to pay for any additional cost the LESSOR may incur in hiring additional security guards, maintaining the cleanliness of the Leased Premises or in contracting for such other services as may be required for the well-being, security and welfare of the other lessees in the Building. In the event that the LESSEE is prevented from conducting its business in the Leased Premises due to a strike, lockout, labor dispute or any other analogous activity involving the LESSOR or other lessees, or due to an accident or cause beyond the control of the LESSOR, the LESSEE hereby unconditionally relieves and releases the LESSOR from any and all liabilities in connection with or arising out of such occurrence(s). This Article shall be without prejudice to the rights of either party to terminate this Contract pursuant to **Article 9.2**. In addition, in cases of strikes and lockouts involving the LESSEE and in the LESSOR's opinion the duration and/or conduct of said strike or lock-out prejudices the operation of the Building or the tenants adjacent to the LESSEE, the LESSOR shall have the right to terminate the lease, and **Article 10.2** shall therefore become applicable.

ARTICLE 10 - TERMINATION AND ITS CONSEQUENCES

10.1 **Events Giving Rise to Default and Termination:** The LESSOR shall have the right to cancel or terminate this Contract upon the occurrence of any of the following events:

(a) the term (or renewal) of this lease shall have expired pursuant to **Article 2.1**, or the LESSEE shall have failed to return and surrender the Leased Premises in accordance with **Article 6.20**;

(b) the Leased Premises shall be closed, deserted or unoccupied for a continuous period of fifteen calendar (15) days;

(c) delay in payments for a maximum of two (2) months of rent or any other amount due hereunder from the date specified herein for its payment;

(d) any of the LESEE's representations and warranties as specified hereunder shall prove false in any material respect when made or the LESSEE fails to observe or perform any of the covenants provided hereunder;

(e) the LESSEE (if the latter is a natural person) shall have died or the corporate existence of the LESSEE (when organized as corporation or partnership) shall have ceased;

(f) the principal stockholder(s) or owner(s) of the LESSEE (when organized as a corporation or partnership) on the date hereof shall have changed or shall have ceased to own or control a majority of shares or interest in the LESSEE, whether through voluntary disposition, merger, consolidation, restructuring, bankruptcy, liquidation or otherwise, and the new principal stockholder(s) or owner(s) controlling the LESSEE shall not be acceptable to the LESSOR, or the LESSOR shall be unwilling to continue the lease with the LESSEE, as owned or controlled by such new stockholder(s) or owner(s), for any reason;

(g) the LESSEE shall become insolvent or be unable to pay its debts when due or shall commit or permit any act of bankruptcy under the applicable law; or

(h) the occurrence of any other event which entitles the LESSOR to exercise its right to cancel or terminate this lease pursuant to other provisions in this Contract;

10.2 **Consequences of Default:** Upon the occurrence of any of the foregoing events, the LESSOR shall be entitled to exercise any of the following remedies, alternatively or cumulatively at its discretion, in conjunction with or separately from any other right or remedy granted hereunder or under the law:

(a) The LESSEE hereby appoints the LESSOR as its attorney-in-fact with the following powers and functions, exercisable upon the occurrence of any of the events specified in **Article 10.1**: shall have the right to (i) open, enter, padlock, secure, enclose or fence the Leased Premises, or otherwise take full and complete physical possession and control of the Leased Premises; (ii) assume ownership and take full control and possession of all alterations, additions, improvements or installations placed in or on the Leased Premises which cannot be removed without defacing or injuring any ceiling, floor, wall or any portion of the Building or the Leased Premises, (iii) take an inventory of the equipment, furniture, articles or merchandise found or located in the Leased Premises which may be removed therefrom without defacing or injuring any ceiling, floor, wall or any portion of the Building or Leased Premises, place any of the same in storage and charge the LESSEE the corresponding storage fees therefor; (iv) in case the LESSEE fails to claim said equipment, furniture, articles or merchandise from storage and liquidate any liability to the LESSOR within thirty (30) days from the date the LESSOR takes possession of the Leased Premises or of the LESSEE's personal properties, to dispose of said properties in a public sale and to apply the proceeds thereof to the payment of any liability and/or indebtedness due to the LESSOR from the LESSEE, including reasonable expenses incurred by the LESSOR in connection with such sale, without prejudice to the right of the LESSOR to collect the deficiency, if any. The appointment of the LESSOR as attorney-in-fact is considered coupled with an interest, and hence is irrevocable.

(b) The LESSOR shall be entitled to collect from the LESSEE, and the LESSEE shall continue to be liable for, the rental of the unexpired period of the lease term and the penalty and interest charges due thereon (as applicable). The entire security deposit constituted under **Article 4.4** shall be forfeited in favor of the LESSOR, and the LESSEE shall continue to be liable for all amounts which shall be due from it as provided hereunder. All these amounts shall be due to the LESSOR in addition to whatever damages, whether actual or consequential, the LESSOR may have suffered or incurred from the termination of this Contract. In no case, shall any amount due hereunder from the LESSEE be applied against the security deposit provided by the LESSEE under **Article 4.4**, it being understood that the entire amount thereof shall accrue by virtue of forfeiture in favor of the LESSOR.

(c) Should the LESSOR be compelled to seek judicial relief against the LESSEE or any of its employees, agents or representatives, the latter shall, in addition to the damages mentioned above, pay an amount equivalent to twenty percent (20%) of the amount claimed in the complaint, as attorney's fees, which shall not be lower than **FIFTY THOUSAND PESOS (Php50,000.00)**, and the costs of the litigation and other expenses which the law may entitle the LESSOR to recover from the LESSEE.

ARTICLE 11 - GENERAL PROVISIONS

11.1 **Expropriation:** In the event that the Leased Premises or any part of the Building is expropriated during the period of this lease by any instrumentality of the Government or by any other entity with authority to exercise such power, either party may rescind this Contract upon giving the other party thirty (30) days' prior written notice thereof, without incurring any liability or providing the other party with any basis for an action for damages. In case of such expropriation, the LESSEE hereby unconditionally relieves and releases the LESSOR from any and all liability under this Contract in connection with or arising out of such expropriation proceedings and agrees that the compensation to be received by the LESSOR shall belong to it wholly as owner of the Leased Premises, without prejudice to whatever recourse the LESSEE may have against the expropriating entity on account of damage done or caused to it or its properties by reason of such expropriation.

11.2 **Non-Waiver:** The failure of any party to insist upon a strict performance of any of the terms, conditions and covenants hereof shall not be deemed a relinquishment or waiver of such terms, conditions or covenants, granted to such party, nor shall it be construed as a condonation of any subsequent breach or default of the terms, conditions and covenants hereof, which terms, conditions and covenants shall continue to be in full force and effect. The subsequent acceptance of rent by the LESSOR shall not be deemed to be a waiver of any prior breach by the LESSEE of any term, covenant or condition for this lease, regardless of LESSOR's knowledge of such prior breach at the time of acceptance of such rent. No waiver by the LESSOR of any of its rights under this Contract shall be deemed to have been made unless expressed in writing and signed by the LESSOR.

11.3 **Notice:** Where demand or notice is required to be given under this Contract, notice sent to the LESSEE at the Leased Premises or at the address specified above by registered mail or by personal delivery, shall be considered sufficient compliance with the requirement of notice or demand.

11.4 **Law and Venue Applicable:** This Contract shall be construed, interpreted and governed by the laws of the Philippines. Each party irrevocably submits to the jurisdiction of the courts in Makati City for the purpose of enforcing any right or obligation under or arising out of this Contract.

11.5 **Entire Agreement:** This Contract constitutes the complete understanding between the parties with respect to the subject matter hereof and supersedes any prior expression of intent, representation or warranty with respect to this transaction. This Contract may be amended but only with an instrument in writing signed by the parties.

11.6 **Binding Effect:** All the terms, covenants, conditions and provisions of this Contract shall be binding and enforceable upon the parties and their heirs, executors, administrators, principals, successors-in-interest and assigns.

11.7 **Severability:** If any one or more of the provisions of this Contract is declared invalid or unenforceable in any respect under any applicable law, the validity, legality or enforceability of the remaining provisions contained herein shall not in any way be affected or impaired.

Signature page follows.

IN WITNESS WHEREOF, the parties hereto have affixed their signatures at the place and on the date herein above written.

FBC STEPS REALTY, INC.
(LESSOR)

By:

AGNES R. SAYAO
Attorney-in-Fact

VANESSA M. BESAS
Attorney-in-Fact

- and -

FAMILY TIMES FOODS, INC.
(LESSEE)

By:

ADRIAN P. DIMACALI
HR Manager and Legal Counsel

SIGNED IN THE PRESENCE OF:

Jecker E. Valdez _____

Acknowledgment page follows.

ACKNOWLEDGEMENT

REPUBLIC OF THE PHILIPPINES)
MAKATI CITY) SS.

I certify that on _____ before me, a notary public duly authorized in the city named above to take acknowledgments, personally appeared:

Name	*Competent Evidence of Identity*	*Date/Place Issued*
FBC STEPS REALTY, INC. *Represented by:* Vanessa M. Besas	TIN 008-067-346 Passport No. P8964079B	15 February 2022 / DFA Manila
Maria Socorro A. Ligon	Passport No. P8151363B	12 November 2021 / DFA NCR South
FAMILY TIMES FOODS, INC. *Represented by:* Adrian P. Dimacali	TIN 008-300-100 Passport No. P7271334A	22 May 2018 / DFA Manila

known to me and to me known to be the same persons who executed the foregoing instrument and they acknowledged to me that the same is their free and voluntary act and deed as well as the free and voluntary act and deed of the corporations which they represented.

This instrument refers to a Contract of Lease over commercial space located in the City of Makati and consists of fifteen (15) pages including this page where this acknowledgement is written, to which **Annex A** has been attached. Each and every page of this Contract has been signed by the parties and their instrumental witness at the end of the body hereof and on all the pages hereof in their left-hand margins and every page of which is sealed with my notarial seal.

WITNESS MY HAND AND SEAL on the date and place first above written.

Doc. No. _____ ;
Page No. _____ ;
Book No. _____ ;
Series of 2025 .